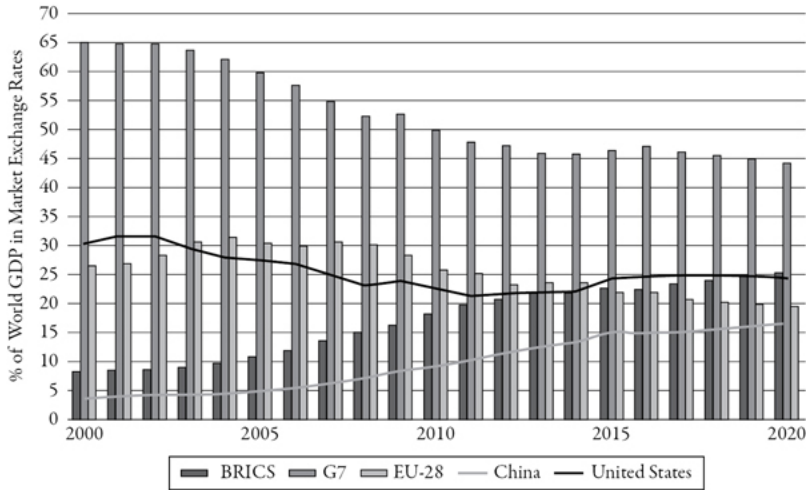


FIGURE 2.1 Shares of World GDP (MER, %): BRICS, G7, EU, China, and United States

Source: IMF World Economic Outlook, April 2017; C. Roberts calculations.

It is also instructive to compare the incumbent hegemon directly with its putative rising challenger. In 2015, China accounted for 17.1 percent of global GDP in PPP, pulling ahead of the United States, at 15.8 percent.[31] The U.S. portion of the world economy has been steadily declining for half a century. In market rates, the current U.S. share of global GDP is 24.7 percent, down from a high of 38.5 percent in 1960.[32] As shown in Figure 2.2, China's GDP also surpassed the United States in PPP terms in 2014, and within a decade, it is likely to catch up to the United States in dollars at market rates. China is now also the world's largest trading nation, and it has the world's largest middle class, edging out both the United States in 2015 and the struggling Eurozone, where only in France did wealth grow faster (3.6 percent) than the 2 percent median for the twenty-first century, according to Credit Suisse. Even Russia, which swung between peaks and valleys, recorded a net 4.1 percent gain from 2000–2015, ranking sixth in its rate of growth of real wealth.[33]

With respect to the size of the international economy, from 2000 to 2014, global GDP more than doubled, increasing from $31.8 trillion to over $75 trillion. Overall, emerging market economies contributed 46 percent of global growth (70 percent in PPP) in 2000–2008, before the global financial crisis, and 70 percent in 2010–2015 in market exchange-rate terms. By 2014, all emerging economies constituted 34 percent of global GDP, rising as they integrated into trade and financial markets. The BRICS accounted for two-thirds of this emerging market output, and in 2010–2014, they contributed 40 percent of global economic growth, with a peak of 50 percent in 2013.[34] Together, they account for more than one-fifth of global activity—as much as the United States, and more than the Euro area.

Over the same 14-year period, China's nominal GDP rose from $1.2 trillion to more than $10 trillion—growing at more than four times the global rate in market exchange-rate terms—and in 2016, it is forecast to contribute four times more to global growth than the United States. As shown in Figure 2.3, China's 2016 projected GDP in market exchange-rate terms was $11.4 trillion, compared to the projected U.S. output of $18.6 trillion. In purchasing power parity terms, as shown in Figure 2.2, by the end of 2015, China's output of $19.4 trillion was the world's largest, surpassing the American economy.

Despite the current lopsidedness among the BRICS countries' growth rates (as discussed later in this chapter), on average over the next decade, the BRICS will more than likely match or beat major European countries' growth rates, and in China and India, by more than threefold or fourfold. The GDP annual growth rate in the Euro area averaged 1.6 percent for more than two decades from 1995 to 2016.[35] In 2000, the combined size of the BRICS economies was about a quarter of the U.S. GDP. By the start of 2016, the BRICS' combined output ($16.5 trillion) in market rates ranked them above the Eurozone and nearly equivalent to the U.S. economy (at $17.9 trillion), while their share of world economic output was equivalent to the European Union. The shares of global GDP contributed by Brazil and Russia increased greatly during this period, to the extent that they rose from the tenth- and eleventh-largest G20 economies in 2003 (leapfrogging four G20 EU member-states) to become the fifth- and sixth-largest G20 economies in 2013. A host of factors, from the fall in commodity prices to governance issues, as